

THE EQUITY EXPRESSION OF THE DRONE TARIFF THESIS

The Bill Of Materials Problem

At one minute past midnight on 3 September, Washington began charging a 100% duty on imported drones weighing more than 25 kilogrammes, and on any drone carrying a thermal imager. The domestic manufacturers the measure was designed to favour spent the day trading well below the prices they reached when the policy was announced three weeks earlier. Unusual Machines closed at \$24.11, against the \$33.24 it touched on 14 August. Red Cat closed at \$8.50, against \$11.02. The protection arrived exactly as written, on the day it was promised, and the shares of its intended beneficiaries had already given back most of the move.

That gap is the subject of this edition. It is not a verdict on the policy. It is an observation that a tariff acts on one layer of an industry, and that the layer it acts on may not be the layer where the constraint sits.

A reframe worth holding onto

A tariff sets the price at which a foreign aircraft crosses the border. It does not set the price of the magnet inside the motor, the cell inside the battery pack, or the sensor behind the lens — and in this industry those inputs come overwhelmingly from the same country whose finished goods have just been taxed.

Protection applied to assembly, while the bottleneck remains upstream, raises the domestic builder's input bill at the same moment it raises the foreign competitor's shelf price. Both effects are real. Which one dominates is an empirical question, and it is answered quarter by quarter in gross margin, not in proclamation text.

Method. Every figure in this edition is external and dated: presidential proclamation text and White House releases, company press releases and SEC filings, and contemporaneous reporting from named outlets. Each is attributed at the point of use and listed again in the sources section. **The Heyokha Wiki MCP server was not reachable in this automated run**, so there is no internal research leg today — no Wiki page, no provider issue, no house thesis. Where this edition offers a framing rather than a fact, it is labelled as such and belongs to the editor, not to any named research provider. Nothing here is presented as a forecast.

Consider a town with one bakery and a port. For years the port has landed cheap imported bread, and the bakery has survived on the margin between what it can charge and what the imports cost. The council votes to tax imported bread at 100%. The baker is delighted. Then he looks at his own storeroom. His flour arrives from the same country as the bread. So does his yeast, and the heating element in his oven, and the bearings in his dough mixer. The exporting country, irritated by the vote, announces that flour shipments to this particular town will now be reviewed case by case, with no expedited licences. The baker's shelf price has doubled relative to his rival. His input costs hold only as long as his current pallets last, and his lead times have already lengthened. Whether he ends the year richer depends not on the size of the tariff but on how fast he can find another mill — and on whether the town will pay for bread while he looks.

THE STORY IN 60 SECONDS

100%

Ad valorem duty on unmanned aircraft above 25kg maximum take-off weight, on any drone with a thermal imager, and on docking stations and certain critical components. Smaller drones face 25%. *Presidential proclamation signed 13 August 2026; effective 12:01am ET, 3 September 2026.*

~90%

China's share of world rare-earth magnet production. Those magnets sit inside the brushless motors that give a drone lift, speed and directional control — the component the analysis rates hardest to onshore. *Wall Street Journal analysis, May 2026.*

-27%

Fall in Unusual Machines' share price between its \$33.24 announcement-day level on 14 August and its \$24.11 close on 3 September, the day the tariff took effect. Red Cat fell 23% and Ondas 16% over the same span. *Contemporaneous market reports, 14 August and 3 September 2026.*

A tariff that arrived twice

The measure was signed on 13 August 2026 under Section 232 of the Trade Expansion Act, the national-security provision that lets the executive adjust imports without new legislation. The Commerce Department had first to find that reliance on foreign unmanned aircraft constituted a threat to national security; it did. The rate schedule that followed is unusually specific. Unmanned aircraft systems with a maximum take-off weight above 25 kilogrammes carry a 100% duty. So does any drone fitted with a thermal imager, whatever its weight, along with docking stations and certain named critical components. Aircraft at or below 25 kilogrammes carry 25%.

The schedule then bends for allies. Product originating in the European Union, Japan, South Korea, Taiwan, Switzerland or Liechtenstein qualifies for a rate capped at 15%; British product at 10%. The qualification is strict: hardware, software and underlying technology must all originate in the listed countries or the United States. A separate tranche of duties on less sensitive components does not begin until 9 February 2027, which gives the domestic assemblers roughly five months of grace on part of their import bill. The proclamation also directs the Commerce Secretary to stand up an onshoring incentive programme, and firms building domestic capacity may apply for temporary exemptions provided construction begins before 20 January 2029.

None of this landed on a clear field. In December 2025 the Federal Communications Commission had already effectively barred the import and sale of new foreign-made drone models and related components absent a waiver. In July 2026 the commission proposed going further, reclassifying thermal-imaging and aerosol-spray drones as military-grade, which would extend the bar to many older models still in circulation. The tariff therefore taxes a channel that regulation had already narrowed.

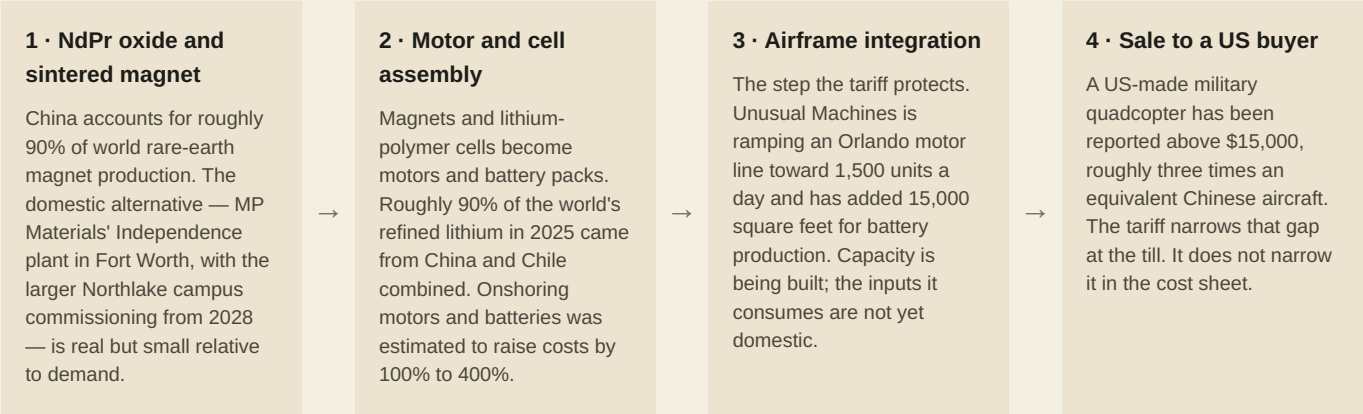
The market reaction split into two distinct events. On announcement, 14 August, the domestic names ran hard: Unusual Machines rose 22% to \$33.24, Red Cat 8% to \$11.02, Ondas 4% to \$9.27, AgEagle around 5%. On the effective date, 3 September, the same names closed materially lower than those levels — Unusual Machines \$24.11, Red Cat \$8.50, Ondas \$7.79 — with AeroVironment at \$143.47, down 1.3% on the session even as it announced a \$464.8m US Army directed-energy award. The policy did not change between those two dates. What changed was the amount of time investors had spent reading the bill of materials.

THE ESSENTIAL DISTINCTION

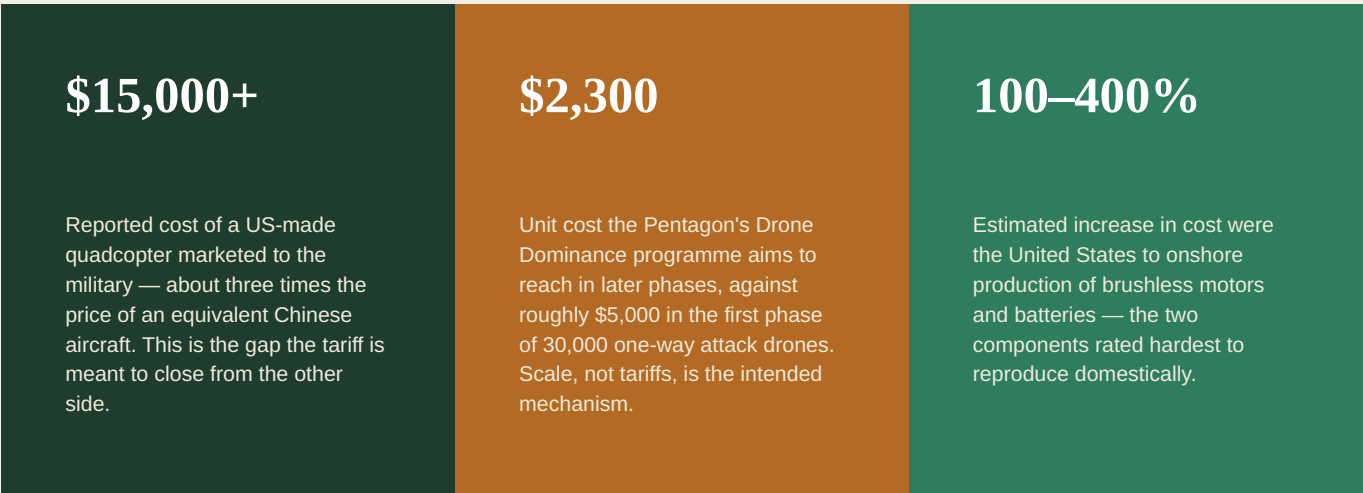
A tariff is a tax on a border crossing, not a subsidy for a factory. It changes what a buyer must pay for the foreign article. It does nothing, by itself, to change what a domestic builder can source, at what price, or on what lead time. *Those are separate policy instruments, and they operate on separate clocks.*

Following one motor through the tariff

The clearest way to see the problem is to trace a single brushless motor from ore to airframe. Every multirotor drone flies on the torque of permanent magnets spinning inside stator windings. The magnet is neodymium-iron-boron, sintered from neodymium-praseodymium oxide. That is where the concentration sits, and it sits upstream of everything a tariff can reach.

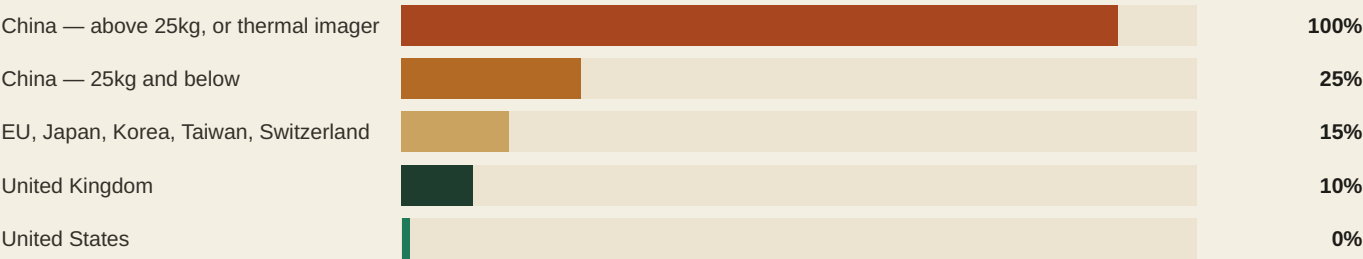


Sources: Wall Street Journal supply-chain analysis, May 2026, on magnet, battery and cost-of-onshoring estimates; Resources for the Future on lithium refining concentration; MP Materials company disclosures, February 2026 and July 2025; Unusual Machines Q2 2026 earnings call, 13 August 2026. Sequence is a simplified illustration of one component path, not a complete bill of materials.



Sources: Wall Street Journal supply-chain analysis, May 2026 (quadcopter cost and onshoring cost range); Department of War Drone Dominance programme disclosures and DefenseScoop reporting, February–March 2026 (phase pricing and volumes). Figures are point estimates from named reporting, not company guidance.

The policy geometry, by origin



Source: presidential proclamation of 13 August 2026, effective 3 September 2026, as reported by Manufacturing Dive (14 August 2026) and Straight Arrow News (3 September 2026). Allied caps require that hardware, software and technology all originate in the listed countries or the United States. Bars are drawn to illustrate the rate structure and are not to a common scale with any other exhibit.

A USEFUL MENTAL MODEL

Read the industry as three layers. Airframe assembly on top, subsystems in the middle, raw materials at the base. Washington has now taxed the top layer, is funding the middle layer through loans and offtake agreements, and has left the base layer largely where it was. *The tariff is the loudest of those three interventions and probably the least decisive.*

What has actually shifted

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
Foreign price floor	A Chinese thermal or heavy-lift drone now lands at roughly double its former landed cost; smaller models at 1.25 times.	Domestic aircraft that were uncompetitive on price may now clear. Equally, buyers who cannot afford either price simply do not buy, and the addressable market shrinks rather than shifts.
Input exposure unchanged	Magnets, cells and much sensor assembly remain concentrated in China. The component tariff tranche does not bite until 9 February 2027.	The five-month grace period protects near-term margins. It also means the domestic cost base has not yet been tested under the full policy, so current gross margins understate the eventual burden.
Retaliation is now explicit	On 5 August Beijing tightened licensing on drone exports to the US and added ten US entities to its export-control list, including MP Materials and USA Rare Earth.	Restricting the two firms most central to a domestic magnet chain raises their strategic value at home while removing a Chinese revenue line and lengthening every Western buyer's qualification timetable.
Demand is being underwritten	The Drone Dominance programme targets roughly 300,000–340,000 aircraft by 2028; Onda's raised 2026 guidance to \$525–550m; AeroVironment guides fiscal 2027 revenue to \$2.125–2.225bn.	Government demand is visible and contracted, which supports the volumes. It is also politically determined, single-customer, and priced to fall toward \$2,300 a unit — a volume story with a deflationary price path attached.
The buyer base is objecting	Public-safety and commercial operators told national press there are no domestic substitutes for thermal-imaging aircraft at comparable cost.	Vocal end-user opposition raises the probability of carve-outs or exemptions, which would soften the protection. It also documents genuine unmet demand that a domestic supplier could eventually fill.

Bull and bear, stated fairly

The case for

- **The demand is contracted, not hoped for.** Ondas reported record second-quarter revenue of \$83.8m, up more than thirteenfold year on year, with backlog of roughly \$613m at 30 June and about \$757m pro forma including acquisitions closed in the third quarter.
- **The largest domestic prime has already inflected.** AeroVironment reported fiscal 2026 revenue of \$1,976.8m, up 141%, with \$2.7bn of bookings, a 1.4 book-to-bill and funded backlog of \$1.2bn against \$726.6m a year earlier.
- **Component capacity is being built now.** Unusual Machines reported second-quarter operating revenue above \$16.7m, up 687% year on year, with enterprise customers about 95% of sales, and is ramping an Orlando motor line toward 1,500 units a day.
- **Balance sheets can fund the ramp.** Red Cat held \$325.6m of cash at 30 June against \$167.9m at year-end; Unusual Machines ended the quarter with \$229m of cash, more than \$86m of short-term investments and no debt.
- **The policy stack is layered, not single-instrument.** Tariffs sit alongside the FCC import bar, the Blue List procurement channel, Commerce onshoring incentives, and Defense Department loans including \$820m committed to Performance Drone Works in August.
- **Thermal imaging is a named, protected line.** Teledyne reported infrared subsystems and cameras for unmanned air and maritime systems up more than 20% in the second quarter, in a Digital Imaging segment whose operating income rose 42.3%.

The case against

- **The tape already rejected the simple version.** The three retail-favoured names ended the tariff's first day 16% to 27% below their announcement-day levels. Investors had three weeks to price the policy and priced it lower, not higher.
- **Profitability is absent at the growth end.** Red Cat's 527% revenue growth came with a \$35.3m net loss and a 16.1% gross margin; Unusual Machines flagged outgrowing an electronics vendor and a motor quality defect that consumed significant resource.
- **The input bottleneck is untouched.** Roughly 90% of rare-earth magnet production and the bulk of lithium refining remain outside domestic control, and the component tariff tranche will raise those costs further from February 2027.
- **Retaliation targets the fix, not the symptom.** Beijing's 5 August measures placed MP Materials and USA Rare Earth under export control and subjected drone exports to case-by-case review without licence facilitation.
- **The prime's own guidance decelerates sharply.** AeroVironment's fiscal 2027 range of \$2.125–2.225bn implies roughly 10% growth after 141%, and much of the fiscal 2026 step-up came from its largest-ever acquisition rather than organic demand.
- **The programme is designed to compress price.** Drone Dominance moves from about \$5,000 a unit in phase one toward \$2,300 in later phases. A supplier that wins on volume in that programme is signing up to a falling average selling price.

Where the accounts diverge

The policy account and the market account do not agree, and this edition does not resolve them. The policy account holds that a 100% duty, layered on an existing import bar and supported by loans, offtake agreements and an onshoring incentive programme, is sufficient to stand up a domestic industry — and it can point to real capacity being poured in Florida, Texas and Utah. The market account, as expressed in prices between 14 August and 3 September, holds that the binding constraint is upstream of anything the duty touches, that the domestic names' current losses and single-digit-to-mid-teens gross margins are the honest measure of that constraint, and that the announcement move was worth reversing before the policy even took effect. Both accounts rest on verified figures. They cannot both be right about the next two years, and nothing published this week settles it. It is also worth naming a further conflict of a different kind: national press has reported that members of the president's family hold interests in domestic drone and magnet businesses, including advisory and shareholder positions, and Congressional Democrats have demanded answers on related federal contracts. That is a documented allegation about process, not a finding, and it is recorded here because it bears on how durable this policy may prove.

What to watch from here

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
AeroVironment Q1 FY2027, 9 September	First results from the sector's largest domestic prime covering the quarter ended 1 August 2026, reported after the close.	The first hard read on whether the fiscal 2027 guide of \$2.125–2.225bn is conservative or accurate, and on organic growth beneath the acquisition.

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Gross margin, not revenue growth	Red Cat at 16.1% and Unusual Machines' vendor and quality issues are the metric to track, quarter on quarter.	Revenue growth from a small base is easy. Margin is where a protected input bill and a domestic cost structure actually show up.
9 February 2027	The date the second tranche of duties on less sensitive components takes effect.	Until then the domestic assemblers import much of their bill of materials at pre-tariff rates. This is when the policy starts taxing them too.
Terms of the Commerce onshoring programme	Scale, eligibility and timing of the incentive scheme the proclamation directs the Commerce Secretary to establish.	The tariff is a price signal; this is the capital. Its size relative to the 100–400% onshoring cost estimate determines whether the signal can be answered.
Chinese export-licence throughput	How long case-by-case reviews actually take for drone and magnet items after the 5 August tightening.	A licensing regime that is slow in practice is a quantity constraint, which binds harder and faster than any price effect.
Exemption and carve-out requests	Whether public-safety and agricultural operators secure relief from the thermal-imaging line.	Carve-outs would relieve genuine end-user pain and simultaneously remove the protection the domestic names have been priced on.

Three postures, not one answer

Own the contracted backlog

Favour the primes and platform consolidators where revenue is already under contract and backlog is disclosed. The cost: this is the most widely held version of the theme, it is priced accordingly, and government demand carries political and appropriations risk that no backlog figure captures.

Own the protected component

Favour subsystem makers in the tariff's named lines — thermal imaging, motors, docking. The cost: these are the businesses whose own inputs are still imported, so the policy raises their revenue and their cost of goods, and the second effect arrives on 9 February 2027.

Own the upstream constraint

Favour the magnet and rare-earth layer, where the shortage is physical rather than fiscal. The cost: the assets are few, the equity is already re-rated on that scarcity, commissioning dates run to 2028, and the largest name is now itself under Chinese export control.

The companies named below are illustrative of how this theme is expressed in listed markets. They are NOT recommendations, and no view is offered on whether any of them is fairly priced. Figures are as reported on the dates stated and have not been adjusted for events since.

AVAV

\$143.47

AeroVironment · the incumbent prime

3 Sep 2026 close

The largest listed domestic maker of small unmanned systems and loitering munitions. Fiscal 2026 revenue of \$1,976.8m was up 141%, with bookings of \$2.7bn, a 1.4 book-to-bill and funded backlog of \$1.2bn against \$726.6m a year earlier. Much of that step-up came from the company's largest-ever acquisition. Fiscal 2027 guidance of \$2.125–2.225bn implies a sharp deceleration. On 3 September the shares fell 1.3% despite a \$464.8m US Army directed-energy award — a reminder that contract flow and share price are not the same variable.

WATCH NEXT

First-quarter fiscal 2027 results after the close on 9 September: organic growth beneath the acquisition is the number that matters.

ONDS

\$7.79

Ondas Holdings · the acquisitive platform

3 Sep 2026 close

A roll-up of autonomous systems and networking assets that has scaled at extraordinary speed. Second-quarter 2026 revenue of \$83.8m compared with \$6.3m a year earlier and \$50.1m in the first quarter; on a pro forma organic basis management put growth at 85%. Backlog stood at about \$613m at 30 June, roughly \$757m including DZYNE and Cyberhawk, which closed in the third quarter. Full-year guidance was raised to \$525–550m. The pattern — organic growth far below headline growth — is the standard question for any roll-up.

WATCH NEXT

Third-quarter organic growth stated separately from acquisition contribution, and the cash cost of integrating the two deals.

RCAT

\$8.50

Red Cat Holdings · the funded challenger

3 Sep 2026 close

Second-quarter 2026 revenue of \$20.2m was up 527% year on year, with gross margin of 16.1% — better than the prior year and better sequentially, but thin. The quarter carried a net loss of \$35.3m. Cash of \$325.6m at 30 June, against \$167.9m at year-end, followed \$258.8m of stock offerings, so the balance sheet is funded but the funding is dilutive. Full-year guidance of \$150–180m was reaffirmed. The shares closed the tariff's first day at \$8.50, against \$11.02 on announcement day.

WATCH NEXT

Whether gross margin continues its sequential climb once the February 2027 component duties come into view in forward cost guidance.

UMAC

\$24.11

Unusual Machines · the component layer

3 Sep 2026 close

The purest listed expression of the argument, because it sells the parts rather than the aircraft. Second-quarter operating revenue exceeded \$16.7m, up 687% year on year and 107% sequentially, with enterprise customers roughly 95% of sales. The Orlando motor line is ramping toward 1,500 units a day, with 15,000 square feet added for battery production. Management also flagged outgrowing an electronics vendor and a motor quality defect. Cash of \$229m plus more than \$86m of short-term investments, no debt. The shares are 27% below their announcement-day level.

WATCH NEXT

Actual daily motor output against the 1,500-unit target, and the source of the magnets going into those motors.

TDY

Q2 imaging op. income
+42.3%, 22 Jul 2026

Teledyne Technologies · the named sensor line

Thermal imaging is written into the tariff by name, which makes the infrared supply chain a direct object of policy rather than a bystander. Teledyne, which owns FLIR, reported record second-quarter results with sales up 9.8% and non-GAAP earnings up 20.8%. Digital Imaging sales rose 12.7% and segment operating income 42.3% to \$170.2m, helped by infrared subsystems and cameras for unmanned air and maritime systems, border security and drone defence, which rose more than 20%. A \$10m tariff refund benefit in the quarter was largely offset by higher R&D and inventory reserves.

WATCH NEXT

Whether infrared demand for unmanned platforms holds its growth rate once the 100% thermal line raises the price of the aircraft carrying those sensors.

MP

\$110/kg NdPr floor
DoD, July 2025

MP Materials · the upstream constraint

The company sits at the layer the tariff cannot reach. Its Independence facility in Fort Worth produces NdFeB magnets at commercial scale, and the \$1.25bn Northlake campus in Texas is intended to take total capacity toward roughly 10,000 tonnes a year, commissioning from 2028. Under a ten-year Department of Defense agreement signed in July 2025, the Pentagon has committed to offtake 100% of the new campus's magnet output and set a ten-year NdPr oxide price floor of \$110 per kilogramme. On 5 August 2026 China added MP Materials to its export-control list.

WATCH NEXT

Commissioning milestones at Northlake against the 2028 date, and NdPr oxide pricing relative to the \$110/kg floor.

The bottom line

What was repriced this week was not the drone industry. It was the market's estimate of how much a tariff on finished aircraft is worth to a company whose costs are set upstream of it. Between 14 August and 3 September the policy did not change by a word, and the three most retail-owned domestic names fell 16% to 27%. That is a specific, dated judgement: that protection at the assembly layer, while roughly 90% of magnet production and the bulk of lithium refining sit in a jurisdiction that has just tightened its own export licensing, is worth less than the announcement-day move implied.

The evidence is genuinely mixed, and it should be held that way. Backlogs at Ondas and AeroVironment are real, disclosed and contracted. So are Red Cat's \$35.3m quarterly loss and 16.1% gross margin, and so is the fact that the Pentagon's own programme is designed to drive unit prices from about \$5,000 toward \$2,300. The reasonable inference is that this is a volume story with a compressing price and an imported cost base — which makes gross margin, not revenue growth, the variable that decides it. The next test is dated: AeroVironment reports first-quarter fiscal 2027 results after the close on 9 September, and the second tranche of component duties arrives on 9 February 2027.

Editorial note. This document is educational commentary prepared for internal use. It is not investment advice, not a research recommendation, and not an offer or solicitation to buy or sell any security. Companies named are illustrative of how a theme is expressed in listed markets; no view is offered on the merits or valuation of any of them. All external figures are attributed and carry an as-of date, and readers should assume prices and figures have moved since. Where sources conflict, the conflict is stated rather than resolved. This edition carries no internal Heyokha Wiki content because the Wiki service was unavailable during the run; consequently no research provider's views are cited, and every framing offered here is the editor's own and labelled as such. Nothing in this document is a forecast.

Sources and update notes

(a) Internal. None. The Heyokha Wiki MCP server was not present in this session: a tool search returned no `mcp__Heyokha_Wiki__*` tools, so `list_sources`, `list_pages`, `get_page` and `get_relations` could not be called. No Wiki theme page was read, no `last_reviewed` date could be recorded, and no research provider issue — 13D Research, White Box, Greed & Fear, Solid Ground, Marc Faber, HS Dent, Gary Shilling or any other — was consulted or is relied upon anywhere in this edition. Readers should treat this edition as an externally sourced explainer only.

(b) Limitation on the internal view. The standing limitation for this section is provider concentration on the Wiki page in use. Today there is a more fundamental limitation: there is no internal view at all. That has two consequences worth naming. First, the house thesis normally supplies the reframe and the argumentative spine, and today both were constructed by the editor from external reporting, which removes a layer of review. Second, the bear case in this edition was built entirely from external reporting and from tensions visible inside the companies' own disclosed results — Red Cat's loss and margin, AeroVironment's guidance deceleration, Unusual Machines' vendor and quality issues, and the Pentagon's own falling unit-price schedule — rather than from any internal counter-thesis.

(c) External sources. (1) Presidential proclamation adjusting imports of unmanned aircraft systems and components, signed 13 August 2026, effective 12:01am ET 3 September 2026: 100% ad valorem on UAS above 25kg maximum take-off weight, on thermal imagers, docking stations and certain critical components; 25% on UAS at or below 25kg; 15% cap for EU, Japan, South Korea, Taiwan, Switzerland and Liechtenstein origin; 10% for the United Kingdom; second tranche on less sensitive components from 9 February 2027; exemption applications conditional on construction beginning before 20 January 2029. Reported by Manufacturing Dive, 14 August 2026, and Straight Arrow News, 3 September 2026. (2) Wall Street Journal supply-chain analysis, May 2026, as summarised by Straight Arrow News, 3 September 2026: China controls at least 90% of world rare-earth magnet production; onshoring brushless motors and batteries estimated to raise costs 100–400%; a US-made military-marketed quadcopter above \$15,000, roughly three times an equivalent Chinese aircraft. (3) Resources for the Future, cited same source: about 90% of lithium refined worldwide in 2025 came from China and Chile. (4) Share prices on announcement day, 14 August 2026: Unusual Machines +22% to \$33.24, Red Cat +8% to \$11.02, Ondas +4% to \$9.27, AgEagle about +5%. (5) Closing prices on the tariff's effective date, 3 September 2026: AeroVironment \$143.47 (–1.32%), Unusual Machines \$24.11 (+2.38%), Red Cat \$8.50 (+2.16%), Ondas \$7.79 (+2.30%); AeroVironment announced a \$464.8m US Army directed-energy award the same day. (6) AeroVironment fiscal 2026 results, reported 29 June 2026 for the year ended 30 April 2026: fourth-quarter revenue \$641.6m (+133%), full-year revenue \$1,976.8m (+141%), bookings \$2.7bn, book-to-bill 1.4, funded backlog \$1.2bn against \$726.6m at 30 April 2025; fiscal 2027 guidance \$2.125–2.225bn; first-quarter fiscal 2027 results scheduled after the close on 9 September 2026. (7) Red Cat Holdings second-quarter 2026 results, August 2026: revenue \$20.2m (+527% year on year), gross profit \$3.3m, gross margin 16.1%, net loss \$35.26m, cash \$325.6m at 30 June against \$167.9m at year-end following \$258.8m of common stock offerings, full-year guidance reaffirmed at \$150–180m. (8) Ondas Holdings second-quarter 2026 results, August 2026: revenue \$83.8m against \$50.1m in the first quarter and \$6.3m a year earlier, pro forma organic growth 85%, backlog about \$613m at 30 June and about \$757m pro forma including DZYNE Technologies

and Cyberhawk, roughly \$175m of new orders in the quarter plus about \$105m to 10 August, full-year guidance raised to \$525–\$550m. (9) Unusual Machines second-quarter 2026 results and earnings call, 13 August 2026: operating revenue above \$16.7m (+687% year on year, +107% sequentially), enterprise customers about 95% of sales, Orlando motor line ramping toward 1,500 units a day, 15,000 square feet added for battery production, an electronics vendor capacity constraint and a motor SKU quality issue disclosed, cash \$229m plus more than \$86m short-term investments and no debt. (10) Teledyne Technologies second-quarter 2026 results, 22 July 2026: sales +9.8%, non-GAAP earnings +20.8%, Digital Imaging sales +12.7% and segment operating income +42.3% to \$170.2m, infrared subsystems and cameras for unmanned air and maritime systems, border security and drone defence up more than 20%, a \$10m tariff refund benefit largely offset by higher R&D and inventory reserves. (11) MP Materials disclosures: Department of Defense ten-year agreement signed July 2025 including 100% offtake of the new campus's magnet output and a ten-year NdPr oxide price floor of \$110 per kilogramme; Northlake, Texas "10X" campus announced February 2026, approximately \$1.25bn, taking total capacity toward roughly 10,000 tonnes of NdFeB magnets a year, commissioning from 2028; Independence facility, Fort Worth, producing NdFeB magnets at commercial scale. (12) Chinese countermeasures announced 5 August 2026: drone exports on the dual-use control list subject to strict case-by-case review without licence facilitation; ten US entities added to the export-control list including MP Materials and USA Rare Earth; China's Ministry of Commerce subsequently opposed the use of Section 232 for these duties. (13) Department of War Drone Dominance programme, DefenseScoop and related reporting, February–March 2026: about \$150m of first-phase prototype delivery orders, roughly 30,000 one-way attack drones at about \$5,000 a unit in phase one, later phases targeting as low as \$2,300, and an ambition of roughly 300,000–340,000 aircraft by 2028. (14) Federal Communications Commission: December 2025 bar on import and sale of new foreign-made drone models and components absent waiver; July 2026 proposal to reclassify thermal-imaging and aerosol-spray drones as military-grade. (15) Market context, 3 September 2026: crude near six-week highs with both benchmarks up more than 10% on the week; the August employment report due 4 September 2026. (16) Reported conflicts of interest involving members of the president's family in domestic drone and rare-earth magnet businesses, and a Congressional request for answers on related federal contracts, as reported by The New York Times, ProPublica and Manufacturing Dive, May–September 2026.

(d) Editorial choices in this automated run. Topic selection could not follow the normal procedure, which scores Wiki entities by source recency and headline prominence, because the Wiki server was unavailable. Drone tariffs were selected instead on the external hot signal: the 100% duty took effect on 3 September 2026, the day before this edition, it is a dated and unambiguous policy event, and it produced a measurable and counterintuitive price reaction. The cooldown check was completed successfully and directly, by listing the HB Wiki Learning folder through the mounted filesystem rather than through the remote-devices bridge, which was also absent from this session. Thirty-two prior editions were parsed. The 30-day cooldown set, covering 5 August to 4 September 2026, is: Gold Miners, Grid Equipment, Oil & Gas, Software Unit Economics, Healthcare Rotation, Tanker Shipping, Uranium, Oil Chokepoint Risk, Seat-Based Software, Energy Chokepoints, Copper Smelting Bottleneck, Copper, Fiscal Dominance, China Equities, Memory Supercycle, Rare Earth Magnets, Gold, Humanoid Robots, Iran War, Coal, Grain Supply Shock, Yen Carry Trade, Power Affordability, AI Debt Financing, Stagflation and Silver Miners. Drone Tariffs appears nowhere in the archive, so the topic is clean. One adjacency is worth flagging: Rare Earth Magnets ran on 25 August 2026, and magnets feature in today's mechanism section. They are treated here strictly as an input constraint on the drone supply chain rather than as the subject. What the cooldown check could not verify is whether any edition exists outside that folder. Two tool failures are recorded: the Heyokha Wiki MCP server and the remote-devices bridge were both absent from the session tool set, and neither was retried more than the permitted number of times. Yahoo Finance, Bloomberg and several other aggregators were not directly fetched; company press releases and SEC-filed exhibits were preferred where available, with contemporaneous named reporting used for same-day prices.